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POLICY NUMBER: **FP-FIN-014**

FAIR VALUE

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton") accounting for fair value measurements in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

POLICY STATEMENT

Fair value ("FV") is a market-based measurement for assets and liabilities that is based on an exit price notion and is not entity-specific. The FV of assets and liabilities are generally based on observable market transactions or market information that is readily available. In situations where there are limited or no market transactions or market information available, Hilton must use a valuation technique to estimate the FV of an asset or liability.

SCOPE

This policy pertains to evaluations of recurring and non-recurring FV measurements of Hilton's financial and nonfinancial assets and liabilities.

Examples of Hilton's assets and liabilities measured at FV on a recurring basis for the purposes of recognition and/or disclosure include, but are not limited to:

- Cash equivalents and restricted cash equivalents
- Derivative instruments
- Pension assets
- Debt instruments
- Investments in trading or available-for-sale securities (including debt or equity) in which there is a readily determinable FV

Examples of Hilton's assets and liabilities that are measured at FV on a non-recurring basis include, but are not limited to:

- Assets and liabilities acquired as part of a business combination
- Intangible assets, property and equipment, and investments upon the identification of an impairment triggering event

APPLICABILITY

This policy applies to all Finance personnel.

EXCLUSIONS/ EXCEPTIONS

This policy does not apply to share-based payment transactions (e.g., share-based compensation), inventory, new leases acquired outside of a business combination, revenue contracts with customers, and the derecognition of nonfinancial assets.¹ Additionally, this policy does not apply to areas with specific guidance on initial recognition and measurement where FV is not applied.

AUTHORIZATIONS

Required Consultations with Technical Accounting ("TA")

TA must be notified in the event a valuation is received for one of Hilton's (i) consolidated properties, (ii) joint venture properties, or (iii) non-hotel joint ventures, and when an observable price change occurs for a joint venture interest that does not have a readily determinable fair value.

INITIAL RECOGNITION AND MEASUREMENT

When Hilton acquires an asset or assumes a liability, the transaction price paid to acquire the asset or the funds received to assume a liability is referred to as the entry price. This potentially differs from the FV of the asset or liability as the FV is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction in the principal or most advantageous market, under current market conditions, regardless of whether that price is directly observable or estimated using another valuation technique (i.e., an exit price).²

¹ ASC 820-10-15-2, *Fair Value Measurement, Overall, Scope and Scope Exceptions*

² ASC 820-10-30-2 *Fair Value Measurement, Overall, Initial Measurement*

In many cases, the transaction price will equal FV and Hilton will recognize the related asset and liability based on the transaction price.³ However, Hilton should consider specific elements of the transaction in assessing the appropriate value to record the asset or liability. Factors that can indicate the transaction price may not represent FV include:

- When the transaction is between related parties
- If the transaction takes place during a time of duress for the seller or the seller is forced to accept the price in the transaction
 - For example: If the transaction takes place while the seller is experiencing financial difficulty
- When multiple assets were acquired or liabilities were assumed as part of a single transaction
 - For example: A business combination, the transaction includes unstated rights and privileges, or the transaction price includes transaction costs
- If the transaction is not taking place in the principal or most advantageous market⁴

SUBSEQUENT MEASUREMENT

a. *Fair Value Measurement Approach*

The objective of a FV measurement is to estimate the price that would be received to sell an asset or paid to transfer the liability in an orderly transaction between market participants on the measurement date. The FV of an asset or liability is based on a hypothetical transaction on the measurement date and requires Hilton to determine all of the following:

- The particular asset or liability that is the subject of the measurement
- For a nonfinancial asset, the highest and best use of the asset
- The principal or most advantageous market for the asset or liability
- The valuation technique(s) most appropriate for the measurement, considering the availability of data and inputs a market participant would use when pricing the asset or liability, and the level within the FV hierarchy that these inputs are categorized.⁵ Refer to the **Fair Value Hierarchy** subsection below for further details on the FV hierarchy.

Unit of Account

The unit of account defines what is being measured for financial reporting purposes. It is an accounting concept that determines the level at which an asset or liability is aggregated or disaggregated for recognition and/or subsequent measurement purposes.⁶ For example, if Hilton acquired a group or business, the unit of account would be each identifiable item within the group or business acquired (e.g., land, building, furniture, fixtures and equipment, and trade name intangibles).

Highest and Best Use

A FV measurement of a nonfinancial asset also considers a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.⁷ When determining the highest and best use of a nonfinancial asset, Hilton must only consider possibilities that are physically possible, legally permissible, and financially feasible.⁸ Further, the highest and best use determination is always based on the perspective of the market participants, even if Hilton intends a different use for that nonfinancial asset.⁹ Hilton's current use of a nonfinancial asset is presumed to be its highest and best use unless market or other factors suggest that a different use by market participants would maximize the value of the asset.¹⁰

Principal or Most Advantageous Market

A FV measurement assumes the transaction to sell the asset or transfer the liability takes place either: (a) in the principal market for the asset or liability or (b) in the absence of a principal market, in the most advantageous market for the asset or liability.¹¹ The principal market or most advantageous market must also be a market in which Hilton has access to on the

³ ASC 820-10-30-3, *Fair Value Measurement, Overall, Initial Measurement*

⁴ ASC 820-10-30-3A, *Fair Value Measurement, Overall, Initial Measurement*

⁵ ASC 820-10-55-1, *Fair Value Measurement, Overall, Implementation Guidance*

⁶ ASC 820-10-20, *Financial Instruments, Overall, Glossary*

⁷ ASC 820-10-35-10A, *Fair Value Measurement, Overall, Subsequent Measurement*

⁸ ASC 820-10-35-10B, *Fair Value Measurement, Overall, Subsequent Measurement*

⁹ ASC 820-10-35-10C, *Fair Value Measurement, Overall, Subsequent Measurement*

¹⁰ ASC 820-10-35-10C, *Fair Value Measurement, Overall, Subsequent Measurement*

¹¹ ASC 820-10-35-5 *Fair Value Measurement, Overall, Subsequent Measurement*

measurement date.¹² When a principal market is present, the FV is represented by the price in that market (whether the price is directly observable or estimated using another valuation technique), even if the price in a different market is potentially more advantageous on the measurement date.¹³ If there are no observable markets, Hilton develops a hypothetical market in which the transaction takes place based on the inputs of potential market participants.¹⁴

Market Participant

Hilton considers the inputs of the asset or liability that market participants would consider when determining the FV of an asset or liability. When estimating FV, it is assumed that a market participant always acts in their best economic interest.¹⁵

Market participants have all of the following characteristics:

- They are independent of each other
- They are knowledgeable and have a reasonable understanding of the asset or liability
- They are capable, legally, operationally, and financially, of transacting for the asset or liability
- They are not forced contractually or otherwise compelled to enter into the transaction¹⁶

b. Fair Value Hierarchy

The inputs used in determining the FV of an asset or liability can be categorized into three different levels: Level 1, Level 2 or Level 3 inputs. The fair value hierarchy assigns the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs.¹⁷

- **Level 1 Inputs:** Inputs that are observable, unadjusted quoted prices in active markets for identical assets or liabilities at the measurement date.¹⁸
 - The following are considered Level 1 inputs if traded in an active market:
 - Publicly traded debt
 - Publicly traded equity securities (e.g., Hilton's common stock)
- **Level 2 Inputs:** Inputs other than quoted prices included within Level 1 that are either directly or indirectly observable for the asset or liability.¹⁹ If the asset or liability has a specified contractual term, the market input must be observable for substantially the full term of the asset to be considered Level 2.²⁰
 - For example: The use of market data for a 5-year bond to price a similar 5-year bond would be considered a market input that is observable for substantially the full term of the asset. However, the extrapolation of the market data of a 5-year, 10-year or 15-year bond to price a similar 30-year bond would not be an observable input for substantially the full term of the asset.

Level 2 inputs may be adjusted for various factors including, but not limited to, the condition or location of the asset, the extent to which inputs relate to items that are comparable to the asset or liability, and the volume or level of activity within the markets the inputs are observed.²¹

- The following are considered Level 2 inputs:
 - Quoted prices for similar assets or liabilities in active markets
 - Quoted prices for identical or similar assets or liabilities in markets that are not active
 - Inputs other than quoted prices that are observable for the asset or liability (e.g., interest rates, yield curves, implied volatilities, credit spreads)²²

¹² ASC 820-10-35-6A Fair Value Measurement, Overall, Subsequent Measurement
¹³ ASC 820-10-35-6, Fair Value Measurement, Overall, Subsequent Measurement
¹⁴ ASC 820-10-35-6C, Fair Value Measurement, Overall, Subsequent Measurement
¹⁵ ASC 820-10-35-9 Fair Value Measurement, Overall, Subsequent Measurement
¹⁶ ASC 820-10-20, Financial Instruments, Overall, Glossary
¹⁷ ASC 820-10-35-37 Fair Value Measurement, Overall, Subsequent Measurement
¹⁸ ASC 820-10-35-40 Fair Value Measurement, Overall, Subsequent Measurement
¹⁹ ASC 820-10-35-47 Fair Value Measurement, Overall, Subsequent Measurement
²⁰ ASC 820-10-35-48 Fair Value Measurement, Overall, Subsequent Measurement
²¹ ASC 820-10-35-50 Fair Value Measurement, Overall, Subsequent Measurement
²² ASC 820-10-35-48 Fair Value Measurement, Overall, Subsequent Measurement

- **Level 3 Inputs:** Inputs that are unobservable.²³ Unobservable inputs are only used to measure FV if relevant observable inputs are not available.²⁴ Unobservable inputs must be developed based on the best information available, which may include relevant market benchmarks, internal Hilton data, and/or competitor data.²⁵
 - The following are considered Level 3 inputs:
 - An interest rate in a specified currency in which there is no observable market data at commonly quoted intervals or otherwise for substantially the full term of the underlying asset or liability being measured
 - Historical volatility as it does not typically represent current market participants' expectation about future volatility, even if it is the only information available to price an option
 - An entity's own data to project future cash flows if there is no reasonably available information that indicates that market participants would use different assumptions²⁶

The level within the fair value hierarchy assigned to an asset or liability being measured is the lowest input used in the valuation that is considered a significant input to the valuation.²⁷ For example, if an asset is valued using two inputs in approximately equal proportion, a Level 1 input and a Level 2 input, the asset would be categorized as Level 2 within the fair value hierarchy.

c. Valuation Techniques

When measuring the FV of an asset or liability, an appropriate valuation technique must be used. An appropriate valuation technique will maximize the use of relevant observable inputs and minimize the use of unobservable inputs.²⁸ Hilton applies a variety of standardized valuation techniques including the following:

- **Income Approach:** A valuation technique used to convert future amounts (e.g., cash flows or earnings) to a single discounted amount. This measurement reflects current market expectations about those future amounts.²⁹ Hilton will typically use this approach when determining the FV of brand intangibles, finite-lived intangibles, and long-lived assets.
- **Market Approach:** A valuation technique that uses prices and other relevant information generated by market transactions involving identical or comparable assets or liabilities, or a group of assets and liabilities, such as a business.³⁰ Hilton will typically use this approach when determining the FV of debt instruments, investments in trading or available-for-sale securities, and derivatives.
- **Cost Approach:** A valuation technique that reflects the amount required to replace the service capacity of an asset, often referred to as 'current replacement cost'.³¹ Hilton will typically use this approach when determining the FV of acquired furniture, fixtures, and equipment.

In some cases, a single valuation technique will be appropriate (e.g., when valuing an asset or a liability using quoted prices in an active market for identical assets or liabilities). In other cases, multiple valuation techniques will be appropriate (e.g., valuing a brand intangible asset). If multiple valuation techniques are used to measure FV, the results of those valuation techniques are evaluated to determine an appropriate range of values. A FV measurement is the point within the range that is most representative of FV in the specific circumstances.³²

²³ ASC 820-10-35-52 Fair Value Measurement, Overall, Subsequent Measurement

²⁴ ASC 820-10-35-53 Fair Value Measurement, Overall, Subsequent Measurement

²⁵ ASC 820-10-35-54A Fair Value Measurement, Overall, Subsequent Measurement

²⁶ ASC 820-10-55-22 Fair Value Measurement, Overall, Implementation Guidance and Illustrations

²⁷ ASC 820-10-35-37A Fair Value Measurement, Overall, Subsequent Measurement

²⁸ ASC 820-10-35-24 Fair Value Measurement, Overall, Subsequent Measurement

²⁹ ASC 820-10-55-3F Fair Value Measurement, Overall, Implementation Guidance

³⁰ ASC 820-10-55-3A Fair Value Measurement, Overall, Implementation Guidance

³¹ ASC 820-10-55-3D Fair Value Measurement, Overall, Implementation Guidance

³² ASC 820-10-35-24B Fair Value Measurement, Overall, Subsequent Measurement

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-008—Cash & Cash Equivalents and Restricted Cash Accounting Policy](#)

[FP-FIN-012—Assets Held for Sale and Discontinued Operations Accounting Policy](#)

[FP-FIN-017—Intangible Assets Accounting Policy](#)

[FP-FIN-022—Debt Accounting Policy](#)

[FP-FIN-025—Asset Retirement Obligations Accounting Policy](#)

[FP-FIN-033—Impairment Accounting Policy](#)

[FP-FIN-035—Business Combinations Accounting Policy](#)

[FP-FIN-045—Defined Benefit Plan Accounting Policy](#)

TERM/ACRONYM	DEFINITION
Active Market	A market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.
Cost Approach	A valuation approach that reflects the amount that would be required currently to replace the service capacity of an asset (often referred to as current placement cost).
Discount rate adjustment technique	A present value technique using a risk-adjusted discount rate and contractual, promised, or most likely cash flows.
Entry price	The price paid to acquire an asset or received to assume a liability in an exchange transaction.
Exit price	The price that would be received to sell an asset or paid to transfer a liability.
Fair value	The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date
Financial instruments	Cash, evidence of an ownership interest in an entity, or a contract that both: - Imposes on one entity a contractual obligation either: - To deliver cash or another financial instrument to a second entity, or - To exchange other financial instruments on potentially unfavorable terms with the second entity. - Conveys to that second entity a contractual right either: - To receive cash or another financial instrument from the first entity, or - To exchange other financial instruments on potentially favorable terms with the first entity.
Highest and best use	The use of a nonfinancial asset by market participants that would maximize the value of the asset or the group of assets and liabilities (e.g., a business) within which the asset would be used.
Income approach	Valuation techniques that convert future amounts (e.g., cash flows or income and expenses) to a single current (i.e., discounted) amount. The fair value measurement is determined on the basis of the value indicated by current market expectations about those future amounts.
Inputs	The observable and unobservable assumptions that market participants would use when pricing the asset or liability, including assumptions about risk, such as the following:

	a. The risk inherent in a particular valuation technique used to measure fair value (such as a pricing model) b. The risk inherent in the inputs to the valuation technique.
Level 1 inputs	Quoted prices (unadjusted) in active markets for identical assets or liabilities that the reporting entity can access at the measurement date.
Level 2 inputs	Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
Level 3 inputs	Unobservable inputs for the asset or liability.
Market approach	A valuation technique using prices and other relevant information generated by market transactions involving identical or comparable (i.e., similar) assets, liabilities, or a group of assets and liabilities, such as a business.
Market participants	Buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the following characteristics: a. They are independent of each other, that is, they are not related parties, although the price in a related-party transaction may be used as an input to a fair value measurement if the reporting entity has evidence that the transaction was entered into at market terms. b. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary. c. They are able to enter into a transaction for the asset or liability. d. They are willing to enter into a transaction for the asset or liability, that is, they are motivated but not forced or otherwise compelled to do so.
Market risk	The risk that the fair value or future of cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprises of interest rate risk, currency risk, and other price risk.
Most Advantageous Market	The market that maximizes the amount that would be received to sell the asset or minimizes the amount that would be paid to transfer the liability, after taking into account transaction costs and transportation costs.
Nonfinancial Asset	An asset that is not a financial asset. Examples include: land, buildings, use of facilities or utilities, materials and supplies, intangible assets, or services.
Observable Inputs	Inputs that are developed using market data, such as publicly available information about actual events or transactions, and that reflect the assumptions that market participants would use when pricing the asset or liability.
Present value	A tool used to link future amounts (cash flows or values) to a present amount using a discount rate. Present value techniques differ in how they adjust for risk and in the type of cash flows they use.
Principal market	The market with the greatest volume and level of activity for the asset or liability.
Unit of account	The level at which an asset or liability is aggregated or disaggregated for recognition purposes.
Unobservable inputs	Inputs for which market data are not available and that are developed using the best information available about the assumptions that market participants would use when pricing the asset or liability.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.